

DEMANDS MET
Government employees thank Ashok Gehlot in Jaipur for reinstating OPS, Feb. 25, 2022

most as much in NPS as I get in OPS... and without suddenly burdening the government. However, it's also true that if the markets fall or the fund is badly managed, the pension amounts could shrink." Subhash Chandra Garg, also a former Union finance secretary, calls reverting to OPS a myopic move. He says those who joined work under NPS had a choice of not joining. But then the government could also have implemented NPS for all employees in service, which could have saved the huge amounts spent in the past 19 years on employees under the OPS.

Reformist economists are aghast at the "dangerous trend" of reverting to the OPS. Former Planning Commission vice-chairperson Montek Singh Ahluwalia calls the back-to-OPS plan an "absurd recipe for financial bankruptcy and the biggest *revdi* (alms)". Gehlot retorts by saying, "If the country can progress for 60 years with OPS, then it can progress now as well. Employees have a right to social security after retirement." He points out that in 2021-22, Rajasthan was spending Rs 20,144 crore on pensions under OPS while contributing an extra Rs 2,200 crore a year for present staff under NPS. This concurrent liability of paying 465,000 pensioners under OPS and contributions for the future through NPS had started to pinch, says Gehlot. He feels the state can carry on with the OPS burden without it affecting development.

Gehlot and his additional chief secretary, finance, Akhil Arora, seem to have done their groundwork before implementing OPS-2. Until 2035 or so, any state that chooses OPS over NPS will be making gains of a few thousand crore every year before the hefty liability of numbers kicks in. For example, Rajasthan saves Rs 2,200 crore as its contribution to NPS, which would have doubled given fresh recruitments and increase in salaries. It also retains a similar amount from the employees' contribution, which is now diverted to the general provident fund. Tightening the screws on the states withdrawing from the NPS, the RBI has made it clear that they will lose the benefit of a higher borrowing cap (above 3 per cent of GSDP) that pension scheme contributions had guaranteed. Rajasthan, thus, will see its borrowing cap reduced by around Rs 4,500 crore annually, but it says that instead of borrowing, it can now use the OPS money itself.

However, besides the problematic issue of diverting pension funds for expenses, Rajasthan is not making provisions for how to handle the acc-ruing liability from, say, 2035. After some years, the number of retirees will go down for a few years to about 20,000 a year before rising again, as recruitments went down during most years of NPS before picking up after 2018. "We can handle the OPS-2 future liability, but we must start making provisions for it as soon as possible," says a senior officer.

STALEMATE CONTINUES

So, as the NPS stalemate continues, states are looking at alternatives. Some of them have given employees the option to decide whether they want to go with NPS or OPS, even as Rajasthan has ordered a mandatory shift to OPS-2. Since then, more than 100,000 NPS employees have withdrawn their contributions (some Rs 594 crore in all) and most of it has been deposited with the state government (mandatory for joining OPS-2). It will be deposited in their general provident fund. The state government will ensure that employees get it with interest and that their pension is increased to OPS levels.

The clamour for OPS has also got some pro-NPS experts to take notice of the genuine grievances of employees and thus a long overdue relook at its format in offering a minimum guaranteed pension model. It could be a hybrid of the new and old pension schemes, with the government funding the deficit if net accumulated interest falls below, say, the seven per cent return mark. Another possibility is the pension amount being fixed at not less than half of the last pay drawn with no dearness allowance. Garg and PFRDA chairman Supratim Bandyopadhyay have also suggested such changes. "The objective could be to try and reach the 50 per cent of last pay drawn mark," says Garg.

Gehlot's counter is to point to the financial security and wellbeing of government staff. "We cannot abandon those who helped us build the nation," he says. One thing is for sure, a return to OPS may be a difficult ride, but the NPS too ought to have done better than it has till now. Perhaps the actions of these states will be the harbinger of some drastic changes for the better in the NPS scheme. Millions of state and central government employees will be praying for such an outcome. ■